average price of an asset over a period of time, and that period can be days, weeks, or months. It’s called a moving average because with each new day there is a new average, which includes the price on the newest day, while dropping the price of the oldest day. Hence, the average moves over time. Common averages include 50-day, 100-day, and 200-day moving averages, as well as longer term averages, like the 200-week moving average to observe trends on larger time scales. SMAs can indicate points of support and resistance and when used together can indicate changes in momentum. Cryptocompare.com makes the point:

> Often simple moving averages are used in conjunction with each other to spot trend reversals and shifts in momentum. For example when a short term SMA is below a longer term one and then crosses it—you have indicated an upward shift in momentum that is a buy signal.[26]

Figure 13.23 shows bitcoin’s price from the launch of Mt. Gox in July 2010 through the end of 2012, along with its 50- and 200-day SMAs. Note that an average doesn’t begin until enough days have passed for the first point to be plotted. To CryptoCompare’s point, in the spring of 2012 the 50-day SMA punched through the 200-day SMA, and stayed above it, indicating upward momentum. Inversely, if a short term average crashes beneath a long term average, that is a bearish signal as the price of the asset is falling quickly and is commonly referred to as a *death cross*. Such behavior can be seen in the fall of 2011 when the 50-day moving average fell beneath the 200-day moving average.